CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E80B61786
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: Duncan, Allyson <aduncan@kilstock.com>
Sent: Mon, 7 Aug 2000 08:27:00 -0700 (PDT)
To: Mann Kay <kay.mann@enron.com>
Cc: Fine, Jonathan <jfine@kilstock.com>
Subject: NCNG Delivery Points

There would seem to me to be two questions--the threshold one is whether the site is within Rocky Mount's service territory. If it is, then what obligation does NCNG have with respect to the construction of a delivery point. I haven't reviewed the annexation statutes yet, but based on my initial reading of the Service Area Territory Agreement between Rocky Mount and NCNG, once annexed the site would come within Rocky Mount's purview to serve, and, although a "mutually agreeable" delivery point would have to be negotiated, NCNG would at least have to negotiate that in good faith.

The January 13, 1992 Service Area Territory Agreement gives Rocky Mount the right to distribute natural gas within the city's incorporated limits as well as a specified area outside the incorporated limits. The contract goes on to provide that should any part of that perimeter be annexed into the city, "the respective rights of the parties as to service in any such portion shall be determined by applicable case law and the General Statutes of North Carolina. . ." The contract further provides that absent an order of the NCUC to the contrary, NCNG agrees that Rocky Mount has the right to serve all end users within the "aforementioned" area--presumably referring to the annexed area, although the agreement is not a model of clarity.

So, at least based on this language, Rocky Mount's right to serve arguably tracks its incorporated limits, whatever they might be. (Jonathan and I are looking at annexation law to see what else might be lurking out there).

The 1992 Service agreement provides, In Article IV, provides that points of devliery for all natural gas purchased or transported under the agreement with NCNG shall be "at the following locations and other stations added at mutually agreeable locations in the future. . ." In the Third Amendment to the Natural Gas Service Agreement, dated March 10, 1997, new language and delivery points are negotiated upon, but the principle is still included that other stations may be added at "mutually agreeable locations in the future." The question which then arises is what Rocky Mount would have to give in exchange. In the 1997 agreement, Rocky Mount agreed to an extention of terms of the of ten years, until December 6,

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